

AIFS VS SECOND HOMES

	AIFS	SECOND HOMES
NATURE OF ASSET	Financial instrument	Physical, real estate asset
DIVERSIFICATION	High—across sectors, asset classes, geographies	Low—concentrated in a single location and asset class
INDICATIVE RETURNS	12–18% IRR (Category II & III, post-fees, pre-tax, medium term)	4–7% rental yield, 6–10% capital appreciation (varies by city)
LIQUIDITY	Low—typically locked in for 3–5 years or more	Low—selling property can take months
OPERATIONAL INVOLVEMENT	Minimal—professionally managed	High—maintenance, tenants, repairs
ESTATE PLANNING EASE	High—easily divisible, units transferable	Low—indivisible, legal & family disputes common
TAXATION	Taxed as per fund category & tenure	Rental income taxable, capital gains taxed as per holding period
TRANSPARENCY	Regulated by Sebi, NAV disclosures, audited	Depends on developer & location transparency
IDEAL FOR	Investors seeking managed, diversified exposure with higher risk tolerance	Buyers seeking tangible assets and potential personal use



The traditional attraction of a second home as a symbol of legacy and status, it would appear, is being challenged by the compelling math of AIFs. Let us take a look at some reasons behind this.

NUMBERS

For India's affluent, second homes have long represented more than investments—they embody generational wealth, social status and tangible security.

“However, the stark numerical reality presents a different narrative. While luxury properties generate rental yields of 2–5%, AIFs aspire to provide 15–25% annual returns on average, with 110 out of 123 monitored AIF strategies showing gains in April alone,” says Tanvi Kanchan, Head of NRI Business & Strategy at Anand Rathi Shares and Stock Brokers.

A stable macroeconomic backdrop supported buying sentiment in the first half of 2025, but it failed to translate into real growth—overall housing sales dipped 2% year-on-year to 0.17 million units.

In both tier-I and II cities, investor demand has weakened because of plateauing rental yields and exorbitant property price increases.

Category I and II AIFs, which invest in assets like venture capital or private equity, are also illiquid like real estate, but are professionally managed to deliver better returns. And Category III AIFs offer a definite opportunity.

“Over a five-to-10-year period, these funds, which invest in the markets using sophisticated strategies, have the potential to deliver returns above the Nifty, often in the